UNEMPLOYMENT (TOPIC 4 / CHAPTER 28)



Labor Force Statistics

- Produced by Bureau of Labor Statistics (BLS), in the U.S. Dept. of Labor
- Based on regular survey of 60,000 households
- Based on “adult population” (16 years or older)

BLS divides population into 3 groups:

- **Employed**: paid employees, self-employed, and unpaid workers in a family business
- **Unemployed**: people who were available and not working but who have looked for work during previous 4 weeks
- **Not in the labor force**: those who do not fit either any of the above two categories. i.e. full-time student, homemaker, or retiree

The **labor force** is the total # of workers, including the employed and unemployed.

Labor Force Statistics

- **Unemployment rate** ("u-rate"): % of the labor force that is unemployed

- Unemployment rate=$\frac{number\ of\ unemployed}{labor\ force}$×100
- **Labor force participation rate**:
  % of the adult population that is in the labor force
- Labor Force Participation Rate =$\frac{Labor\ Force}{Adult\ Population}$×100

Compute the labor force, u-rate, adult population, and labor force participation rate using this data:

Adult population of the U.S. by group, June 2008	
# of employed	145.9 million
# of unemployed	8.5 million
not in labor force	79.2 million

Answers

Labor force = employed + unemployed

= 145.9 + 8.5

= 154.4 million

U-rate = 100 x (unemployed)/(labor force)

= 100 x 8.5/154.4

= 5.5%

Answers

Population = labor force + not in labor force

= 154.4 + 79.2

= 233.6

LF partic. rate = 100 x (labor force)/(population)

= 100 x 154.4/233.6

= 66.1%

What Does the U-Rate Really Measure?

Most spells of unemployment are short:

- Typically 1/3 of the unemployed have been unemployed under 5 weeks, 2/3 have been unemployed under 14 weeks.
- Only 20% have been unemployed over 6 months.

Yet, most observed unemployment is long term.

- The small group of long-term unemployed persons has fairly little turnover, so it accounts for most of the unemployment observed over time.

Knowing these facts helps policymakers design better policies to help the unemployed.

Natural rate and Cyclical Unemployment

There's always some unemployment, though the u-rate fluctuates from year to year.

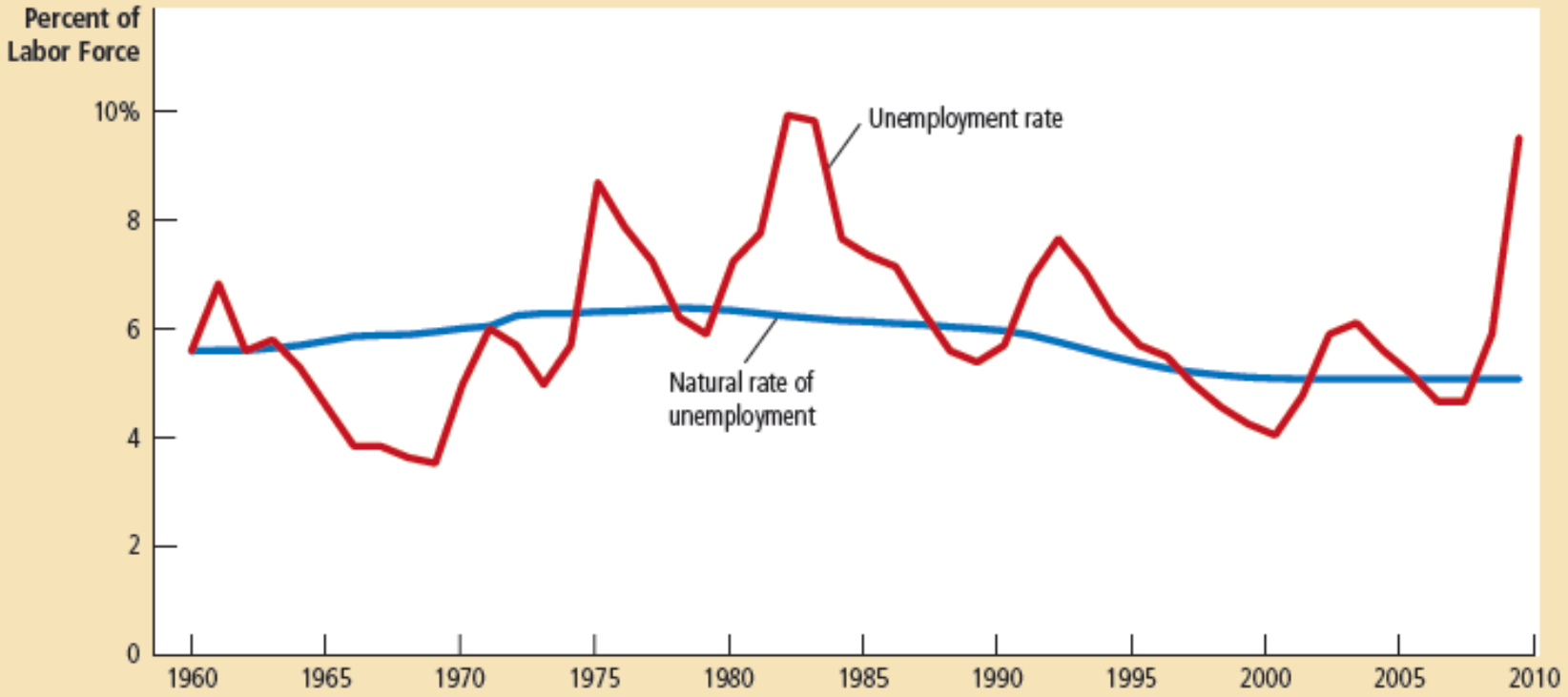
Natural rate of unemployment

- the normal rate of unemployment around which the actual unemployment rate fluctuates

Cyclical unemployment

- the deviation of unemployment from its natural rate
- associated with business cycles

Graph


Percent of Labor Force
10%
8
6
4
2
0
1960
1965
1970
1975
1980
1985
1990
1995
2000
2005
2010
Unemployment rate
Natural rate of unemployment

Explaining the Natural Rate of Unemployment

Even when the economy is doing well, there is always some unemployment, including:

Frictional unemployment

- occurs when workers spend time searching for the jobs that best suit their skills and tastes
- short-term for most workers

Structural unemployment

- occurs when there are fewer jobs than workers
- usually longer-term

Job Search : Workers have different tastes & skills, and jobs have different requirements. **Job search** is the process of matching workers with appropriate jobs.

Why Frictional Unemployment is inevitable ?

- **Sectoral shifts**
- These shifts are changes in the composition of demand across industries or regions of the country.
- Such shifts displace some workers, who must search for new jobs appropriate for their skills & tastes.
- The economy is always changing, so some frictional unemployment is inevitable.

Public Policy and Job Search

- ***Govt. employment agencies***
  provide information about job vacancies to speed up the matching of workers with jobs.
- ***Public training programs***
  aim to equip workers displaced from declining industries with the skills needed in growing industries.

Job Search and government policy

- **Unemployment insurance (UI):**
  a govt. program that partially protects workers' incomes when they become unemployed
- **UI increases frictional unemployment**.
  To see why, recall one of the Ten Principles of Economics:
  People respond to incentives.

Benefits of UI:

- Reduces uncertainty over incomes
- Gives the unemployed more time to search, resulting in better job matches and thus higher productivity

Why there is unemployment?

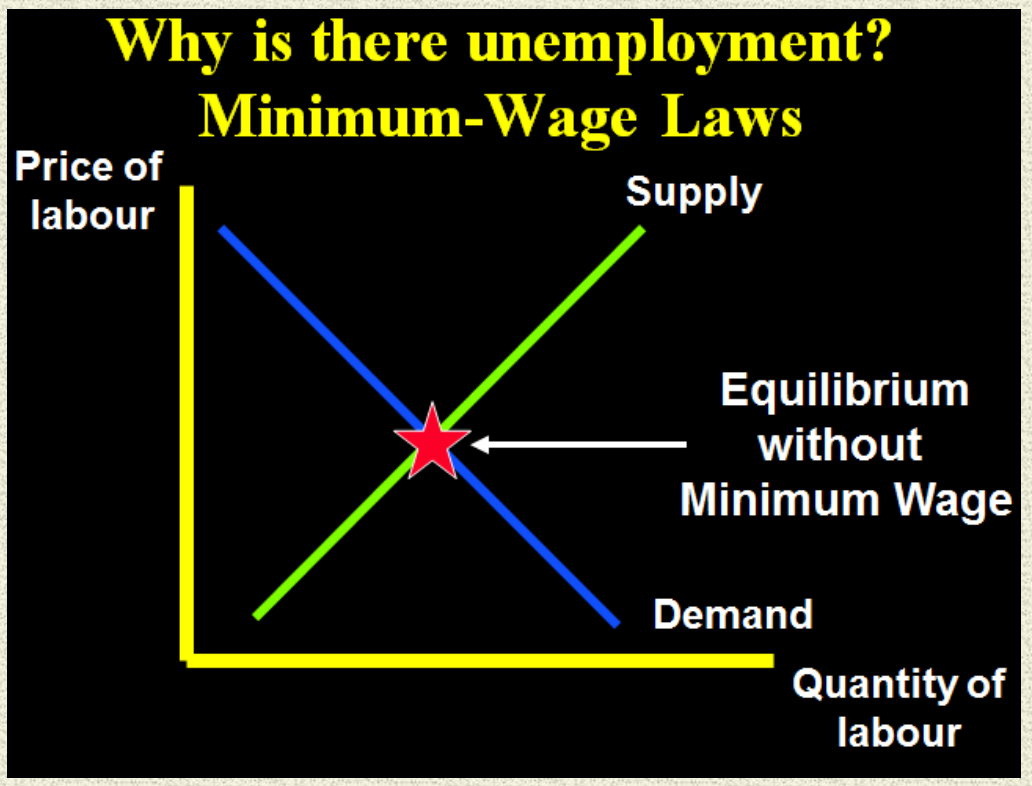
Structural Unemployment occurs when wage is kept above equilibrium

There are three reasons for this→

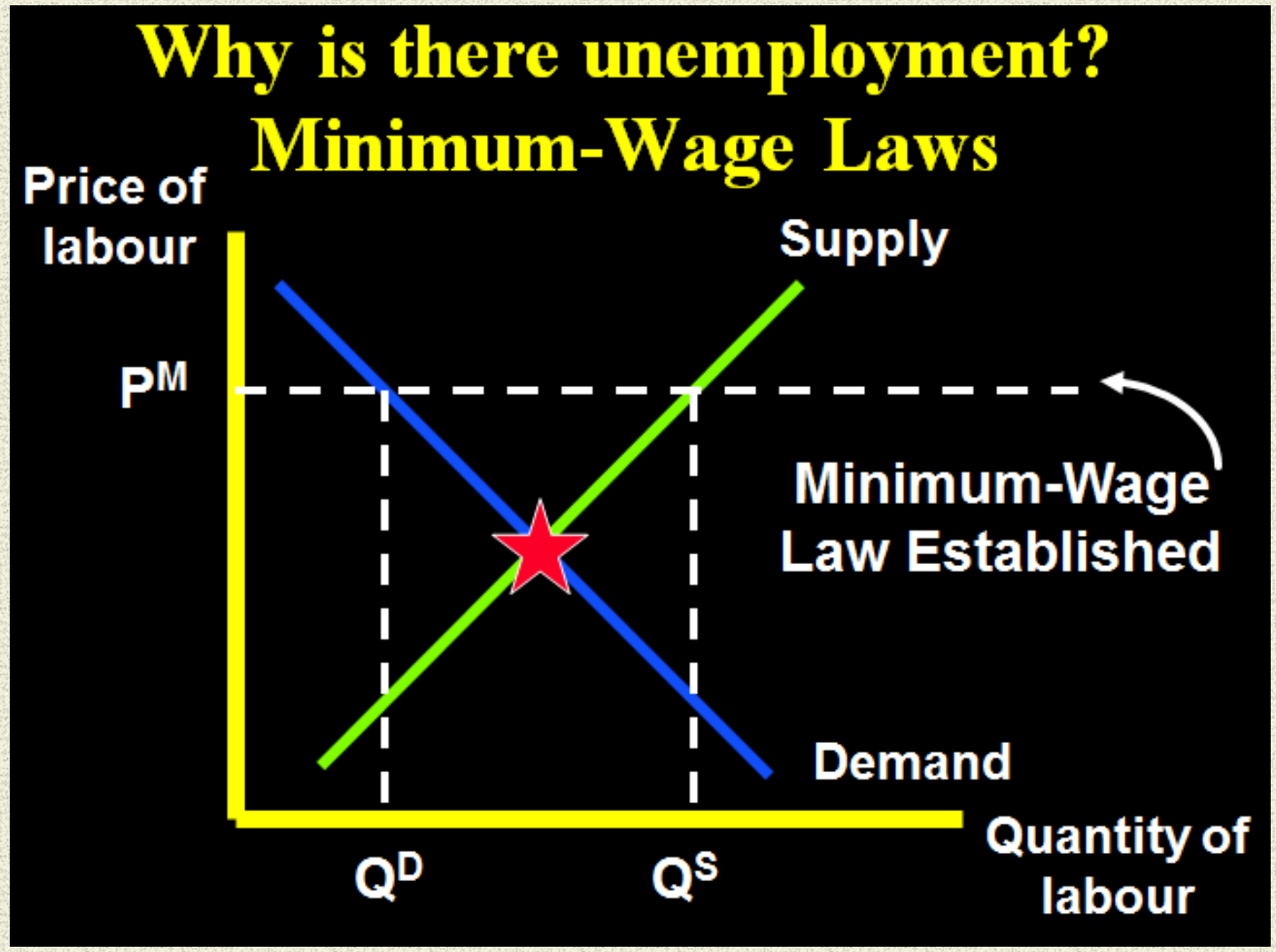
1. Minimum-Wage Laws
2. Unions
3. Efficiency Wages

Minimum Wage Laws

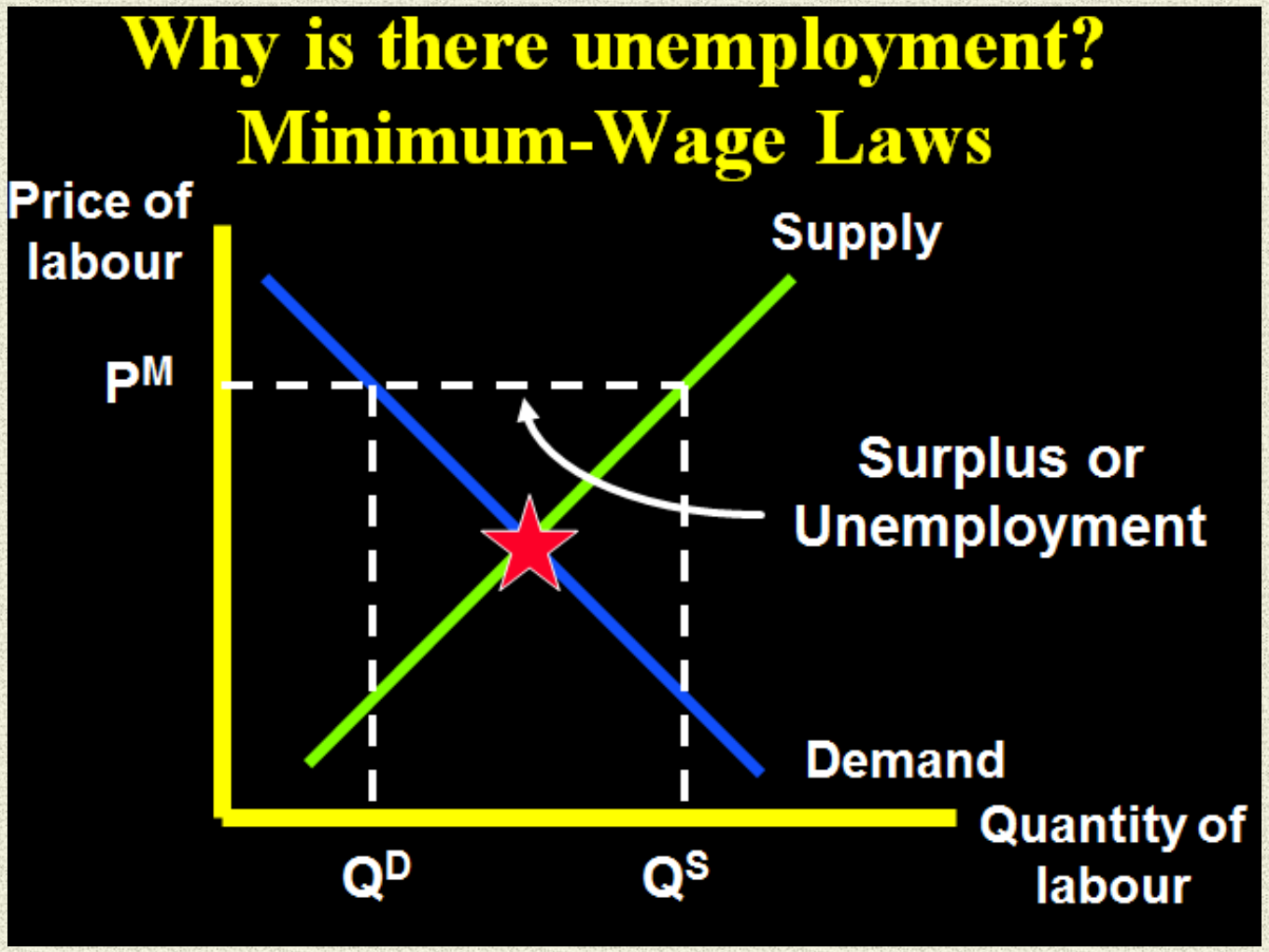
- When a minimum-wage law forces the wage to remain above the level that balances supply and demand, it creates a *surplus of labor*.



Why is there unemployment?



Why is there unemployment?



Union

- A *union* is a worker association that bargains with employers over wages and working conditions.

- A union is a type of cartel.
- Unions exert their market power to negotiate higher wages for workers.

- The typical union worker earns 20% higher wages and gets more benefits than a nonunion worker for the same type of work.



Employment situation under union

- When unions raise the wage above equilibrium, quantity of labor demanded falls than quantity supply of labor and hence unemployment results.
- “Insiders” → workers who remain employed, they are better off
- “Outsiders”→ workers who lose their jobs, they are worse off
- Some outsiders go to non-unionized labor markets, which increases labor supply and reduces wages in those markets.

Are unions good or bad for the economy?

Are unions good or bad?

- ***Critics:***
  Unions are cartels. They raise wages above equilibrium, which causes unemployment and/or depresses wages in non-union labor markets.

- ***Advocates:***
  Unions counter the market power of large firms, make firms more responsive to workers' concerns

Efficiency Wages

- The theory of **efficiency wages**:
- Firms operate more efficiently if wages are *above* the equilibrium level.
- Firms voluntarily pay above-equilibrium wages to boost worker productivity.
- But in the case of unions and minimum wage laws, firms that pay above-equilibrium wages do so involuntarily.



Four reasons why firms might pay efficiency wages:

1. **Worker health**
   Paying higher wages allows workers to eat better, makes them healthier, more productive.

2. **Worker turnover**
   Hiring & training new workers is costly.
   Paying high wages to existing workers gives more incentive to stay, reduces turnover.

3. **Worker quality**
   Offering higher wages attracts better job applicants, increases quality of the firm's workforce.

4. **Worker effort**
   If market wage is above equilibrium wage, there aren't enough jobs to go around, so workers have more incentive to work not shirk.

Unemployment rate (1991-2013)



Exercises: Which of the following would be most likely to reduce frictional unemployment?

- The govt. eliminates the minimum wage.
- The govt. increases unemployment insurance benefits.
- A new law bans labor unions.
- More workers post their resumes at Monster.com, and more employers use Monster.com to find suitable workers to hire.
- Sectoral shifts become more frequent.

- ***Try to solve!!!***